# Shriram Finance Ltd (SHRIRAMFIN)

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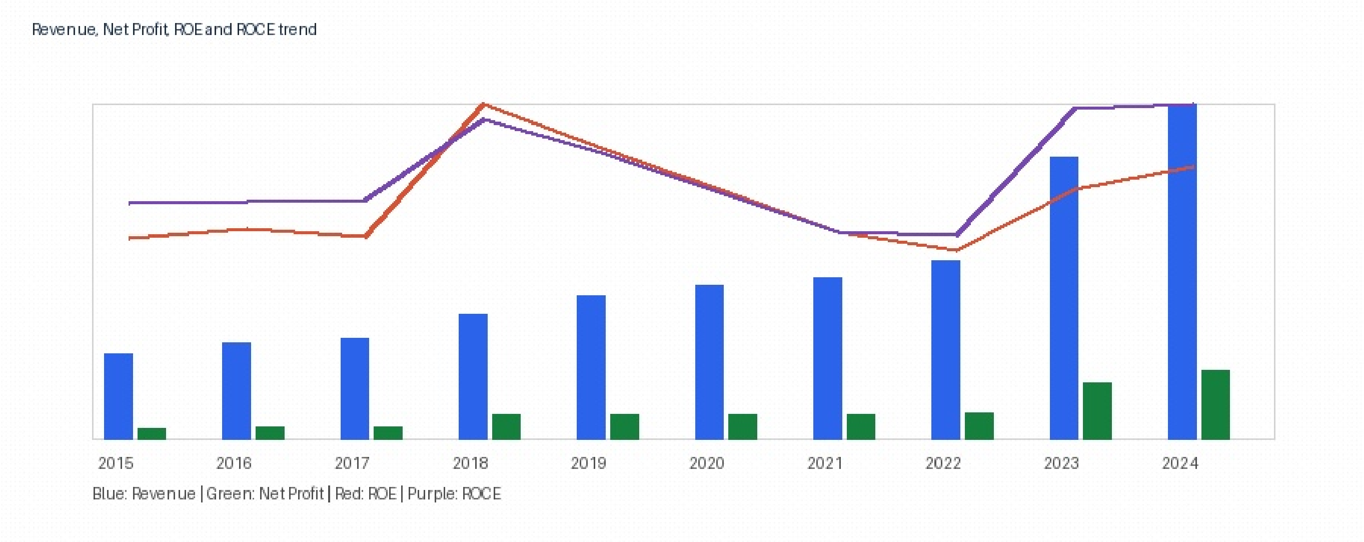
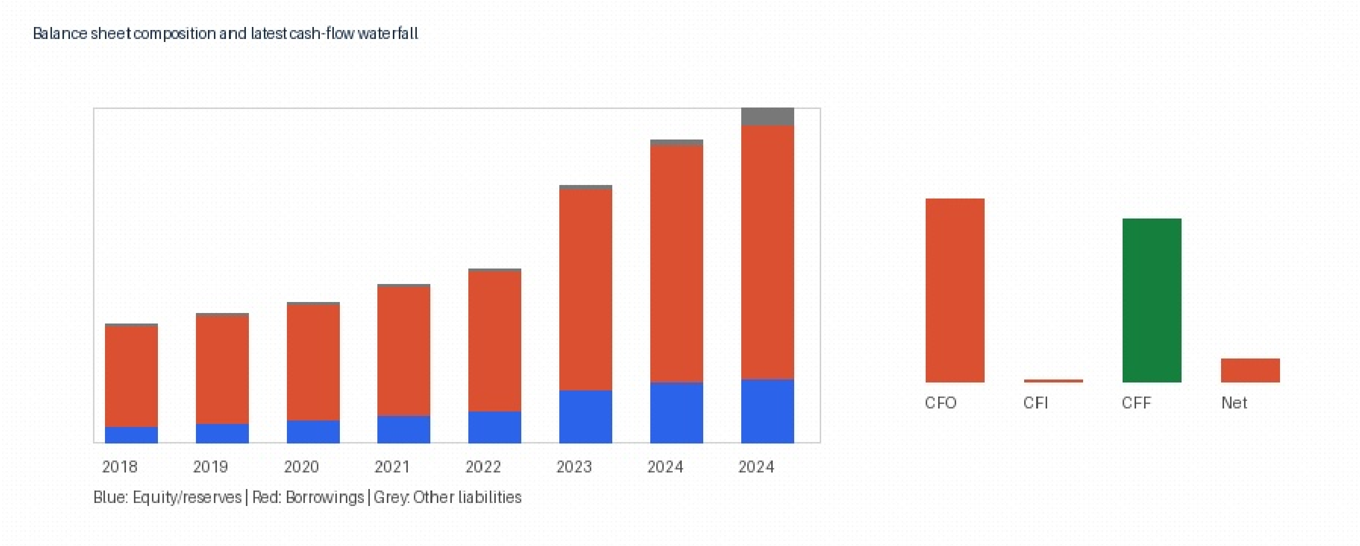
|---|---|---|
| ROE<br>15.12% | ROCE<br>4.32% | NPM<br>20.33% |
| D/E<br>3.99 | Revenue CAGR<br>18.56% | FCF<br>-31,359.00 |

**Sector:** Financials | **Sub-sector:** Consumer Finance

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t






| Pros | Cons |
|---|---|
| Revenue growing at above 15% CAGR over 5 years reflects strong business momentum | Free cash flow negative for 3 consecutive years raises concern about cash generation quality |
| Operating profit margin above 25% indicates strong pricing power and cost discipline | Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations |
| Net profit compounding at above 20% over 5 years creates significant shareholder value | Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital |
| Revenue growing slower than profits shows improving operating leverage and scale benefits | Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility |

**Capital Allocation:** Growth Funded by Debt